ECONOMICS REPORT - Adding Up the Costs of Lost Travel in Europe

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People wait to check in for flights at Heathrow Airport near London on Wednesday

This is the VOA Special English Economics Report.

Air traffic over much of Europe came to a halt for six days because of the huge cloud of ash from a volcano in Iceland. Now the economic costs are still being counted as airlines try to get everyone to where they were going.

At its worst, the crisis affected nearly a third of world air travel. About one hundred thousand flights were cancelled or delayed.

The International Air Transport Association estimated the cost to airlines at nearly two billion dollars.

But that does not include costs like the tons of flowers that growers in Kenya and Israel had to destroy. Or all the fruits and vegetables that could also not be flown to Europe.

Other businesses that depend on air travel, including hotels and vacation places, also suffered. The crisis affected airports from Washington to Pakistan.

The crisis came just as Europe is trying to recover from its worst recession in generations. Greece -- a popular travel place -- continues to face a debt crisis that has sharply raised its borrowing costs.

The United States halted air travel for three days after the terrorist attacks in two thousand one. The travel ban this past week lasted twice as long in some European countries.

Critics accused European air transport officials of being slow to react, then overreacting to the possible risk to airplanes. And there could be more delays as the Eyjafjallajokull volcano continues to release ash.

Last week's eruption cost time and money for travelers. Hundreds of thousands were stuck. Some had no place to stay except the airport. Others tried to make their way by train, bus, boat or car.

Vacationers have had to change or cancel plans. And not all businesses have been sympathetic.

An American stuck in London, already one of the world's highest priced cities, found that her hotel had doubled its prices. Some embassies offered emergency loans to their citizens.

Passengers delayed on European airlines may be able to get back at least some of the money they had to spend.

The crisis brought new attention to the billion-dollar market for travel insurance. About thirty percent of Americans buy policies to cover unexpected problems when they travel. Some credit cards offer a form of insurance and could also face claims.

The volcanic eruption was the second time in two years that Iceland has shaken its neighbors to the east. The first time was the near-collapse of Iceland's banks and currency during the world financial crisis.

And that's the VOA Special English Economics Report, written by Mario Ritter. I'm Steve Ember.